

# ShieldAI

## The Virtual CISO Platform

*Affordable today. A managed-security platform at scale.*

● LIVE IN PRODUCTION

## BUSINESS PLAN

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## Contents

## 1. Executive Summary

*“A full-time CISO costs \$200,000–\$400,000 a year. Nearly half of small businesses have no security budget at all — yet their insurers, customers, and regulators now require a real security program. ShieldAI closes that gap — and it’s already live.”*

ShieldAI is a live, in-production virtual Chief Information Security Officer (vCISO) platform for small and mid-sized businesses (SMBs). It is not a concept or a prototype — it is deployed today, and anyone can create an account, run a real security assessment, receive a deterministic NIST-based risk score, and generate written policies and a prioritized roadmap in minutes. The platform delivers a complete, continuously-managed security program — risk scoring, written policies, a prioritized roadmap, compliance mapping, awareness training, and executive reporting — at a price a small business can actually afford.

Our strategy is a deliberate wedge-to-platform progression. We begin with the affordable, largely self-serve product that is live today and delivers immediate value. As we grow, we layer human expertise on top: cybersecurity engineers who use ShieldAI to run full, managed CISO programs for a portfolio of clients — with the software and its AI co-pilot doing the heavy lifting so a small team can protect a large book of businesses. This is how we move from a low-cost tool to a high-value managed-security platform without a linear increase in headcount.

ShieldAI is powered by frontier AI for analysis and content generation, but our defensibility does not rest on the AI itself. It rests on three things: a proprietary, deterministic security-scoring engine built on the NIST Cybersecurity Framework that produces explainable, auditor- and insurer-trustworthy results; a human-in-the-loop model in which qualified engineers review and approve work before it reaches the client; and the proprietary assessment data and client relationships that compound over time.

### Key Highlights

|                 |                                                                                                                                                                         |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Status          | <b>LIVE IN PRODUCTION — deployed and usable today at <a href="https://shieldai-production-627e.up.railway.app">shieldai-production-627e.up.railway.app</a></b>          |
| Target market   | U.S. SMBs with employees, prioritizing regulated and insured segments                                                                                                   |
| Core category   | Virtual CISO (vCISO) — ~\$2B+ today, growing 12–15%+ annually                                                                                                           |
| Demand driver   | Cyber-insurance, customer security requirements, and regulation forcing SMBs to act                                                                                     |
| Model           | Wedge: low-cost self-serve → Expand: engineer-run managed vCISO programs                                                                                                |
| Differentiation | Deterministic NIST scoring engine + human-in-the-loop + multi-model AI + analyst platform                                                                               |
| Built & working | Assessment, deterministic scoring, AI program & policy generation, tiered Mastermind advisor, live CVE/breach threat intel, monitoring agents, accounts, billing, admin |
| Next milestone  | Staff and scale the managed layer: onboard first paying clients and hire the first security engineers                                                                   |

*This plan reflects ShieldAI’s current reality: the platform is built, deployed, and functioning in production. This raise funds the staffing and scaling of the managed-services layer that turns a working product into a scalable business.*

## 2. The Problem & Market Opportunity

### 2.1 The SMB Security Gap

Small businesses face the same threat landscape as enterprises — ransomware, phishing, business email compromise, supply-chain attacks — but lack the budget, expertise, or time to respond. They are caught in a structural bind: too big to ignore security, too small to afford a dedicated leader. A full-time CISO costs \$200,000–\$400,000 or more per year, while the foundational tools and expertise cost roughly the same whether a business has 10 employees or 100 — so the per-employee burden falls hardest on the smallest firms.

The data shows how exposed this segment is:

- 47% of businesses with fewer than 50 employees have no cybersecurity budget at all (StrongDM / CrowdStrike, 2025).
- 51% have no security measures in place; one-third rely on free, consumer-grade tools.
- Only 34% have a formal incident response plan (Guardz, 2025).
- Only ~13% conduct proactive security audits, and only ~1 in 5 performs annual penetration testing.
- Small businesses represent roughly 43% of all cyberattacks, and SMB incident rates rose ~47% year over year.

The cost of inaction is severe and quantifiable: IBM data shows a tested incident-response plan reduces breach cost by approximately \$232,000, and prevention investment returns consistently exceed 7x. A foundational program costing \$5,000–\$15,000 a year would save hundreds of thousands in the event of a breach — yet the businesses that spend nothing are the ones that pay the most.

### 2.2 Market Size

ShieldAI sits in the virtual CISO category, inside the broader SMB cybersecurity market.

| Market                         | Size / Estimate                   | Source                       |
|--------------------------------|-----------------------------------|------------------------------|
| U.S. small businesses          | 36.2M total; ~5.8M with employees | SBA Office of Advocacy, 2025 |
| Global SMB cybersecurity spend | ~\$109B by 2026, ~10% CAGR        | Analysys Mason               |
| Virtual CISO market (global)   | ~\$2B+ in 2025, 12–15%+ CAGR      | Composite (multiple firms)   |
| U.S. cyber-insurance market    | ~\$3.9B (2025), ~22% CAGR         | Market Research Future       |

*vCISO market estimates vary by research firm — from roughly \$1.06B to \$2.89B for 2024–25, with forecasts ranging from \$1.5B to \$12B by the early 2030s — because firms scope the category differently. Every credible source agrees on the direction: double-digit annual growth driven by escalating threats, a 3.4-million-person global cybersecurity talent shortage, and tightening compliance.*

### 2.3 Market Sizing (Bottom-Up)

- **TAM:** The global vCISO category, ~\$2B+ and growing 12–15%+ per year — the market we directly serve.
- **SAM:** ~5.8M U.S. employer businesses, narrowed to regulated/insured/supply-chain segments (a conservative 10–20% → roughly 600K–1.2M businesses). At a blended program value in the low thousands per year, this is a multi-billion-dollar serviceable market.
- **SOM:** A modest, credible early capture — e.g., 1% of a 600K-business SAM at a few thousand dollars per year per client — represents a business on the order of \$20M+ in annual recurring revenue, reached over a 3–5 year horizon via the self-serve-to-managed motion.

*Final ARPU, pricing tiers, and segment definitions are being finalized; the figures above illustrate the framework, not committed numbers.*

## 2.4 Why Now

The decisive shift is that demand is no longer driven by whether small businesses care about security — it is being forced on them by three external pressures converging at once:

- **Cyber-insurance as gatekeeper:** Insurers now require proof of specific controls (MFA, incident response, etc.) before issuing or renewing policies. 63% of SMBs saw premiums rise 200%+ in 2025, and businesses under \$25M in revenue filed 64% of all cyber-insurance claims — so insurers are tightening precisely on our target segment.
- **Customer-driven requirements:** Larger customers increasingly push security questionnaires and insurance requirements down to their small vendors. Without a demonstrable program, small businesses lose contracts.
- **Expanding regulation:** HIPAA, CMMC (defense supply chain), the FTC Safeguards Rule, and state privacy laws now carry real penalties — reaching deep into the small-business tier.

On the supply side, AI has only recently become capable enough to deliver expert-level security analysis and documentation at a cost that makes serving the small-business segment economically viable. The need and the means have arrived at the same moment.

## 3. Product & Platform

### 3.1 What the Customer Gets

From a short, structured assessment, ShieldAI produces a complete security program through a unified dashboard — all of which is live and working today:

- **Security assessment:** a conversational intake plus a structured, NIST-mapped checklist that captures the business's context and current posture.
- **Deterministic risk score:** an explainable security-posture score (see 3.2) with a per-function breakdown.
- **Prioritized roadmap:** ranked actions with effort, impact, cost, and ownership — including immediate quick wins.
- **Professional policy library:** complete, formatted, ready-to-use policy documents (Acceptable Use, Incident Response, Access Control, Data Classification, and more), downloadable as Word files and tailored to the business.
- **Compliance mapping:** gap analysis against the frameworks relevant to the business (HIPAA, PCI-DSS, SOC 2, CMMC, etc.) with remediation guidance.
- **And more:** incident response workflows, a recommended tool stack, an awareness-training program, and board-ready executive reporting.

### 3.2 The Scoring Engine — Our Core IP

ShieldAI's differentiator is a deterministic risk-scoring engine built on the NIST Cybersecurity Framework. Unlike an AI that "guesses" a number, the engine computes a posture score across the five NIST functions — Identify, Protect, Detect, Respond, and Recover — each weighted and scored from the structured assessment. The same inputs always produce the same score, and every point traces to a specific control.

This matters commercially: an insurer, auditor, or enterprise customer can trust an explainable, repeatable score in a way they would never trust an opaque AI output. The scoring methodology is proprietary and improves as our assessment dataset grows.

### 3.3 The Role of AI

Frontier AI powers the analytical and generative work — interpreting the assessment, drafting tailored policies, generating training and reporting, and (in the platform layer) assisting our engineers. The architecture is genuinely model-flexible and this is live in production today: ShieldAI runs on a multi-provider AI layer spanning Anthropic's Claude, Google's Gemini, and OpenAI's GPT, with automatic fallback so a single provider outage never takes the product down. Crucially, the AI accelerates expert work rather than replacing expert judgment — which is central to both our quality bar and our liability posture.

## 4. Strategy: Wedge to Platform

### 4.1 The Wedge — Self-Serve Product

The entry product is affordable, largely self-serve, and live today. A business completes an assessment, receives a real posture score and a complete program, and can generate and download professional policies — immediate, tangible value at a fraction of the cost of a consultant. This wedge gets businesses in the door cheaply, proves the model, and builds the assessment dataset that strengthens our scoring engine.

### 4.2 The Expansion — Managed vCISO Programs

As clients grow or face greater compliance demands, they graduate to managed plans in which a ShieldAI cybersecurity engineer runs their security program on an ongoing basis. This is higher-value, higher-retention recurring revenue, and it is where the human-in-the-loop model delivers both quality and trust.

### 4.3 The Platform — The Analyst Console

The engine of scale is an internal analyst console: a command center where each engineer manages a portfolio of client businesses. From a single interface an engineer monitors every client's posture and trend over time, sees alerts from monitoring agents deployed in client networks, communicates directly with clients, and reviews and approves the AI's work before it ships. An integrated AI co-pilot — "ShieldAI Mastermind" — triages threats, diagnoses issues, and surfaces compliance gaps, so one engineer can do what previously required a whole team.

This console is not a mockup — it is built and running in production today, including the Mastermind co-pilot (tiered by client plan), the cross-platform monitoring agents, and real CVE and breach-exposure threat intelligence feeding the recommendations. What this raise funds is not building the platform but staffing and scaling it: onboarding the first cohort of engineers and paying clients onto the console, and hardening it for a growing book of business. This is the layer that transforms cybersecurity consulting from a headcount-bound business into a scalable platform.

*The AI does the first 80%. The engineer adds the high-value 20% — judgment, accountability, and the client relationship. That blend is our margin and our quality bar.*

## 5. Business Model

### 5.1 Revenue Streams

- **Self-serve subscriptions** — low-cost, high-volume entry tier; the wedge.
- **Managed vCISO plans** — engineer-run programs; the primary recurring-revenue engine.

- **Channel / partnerships** — referrals from cyber-insurers, MSPs, and professional-services firms whose clients are required to demonstrate controls (a natural low-CAC path).
- **Add-ons** — compliance-readiness packages, cyber-insurance documentation, and specialized policy work.

## 5.2 Pricing Tiers

Pricing is set to undercut traditional human-only vCISO retainers — which typically run \$2,500–\$11,600/month for SMB clients — while remaining more complete than automated-only tools. Because AI performs the heavy lifting, ShieldAI can price competitively for real SMB budgets and still hold healthy margins.

| Tier                 | Price / mo | What it includes                                                                              | Target customer                          |
|----------------------|------------|-----------------------------------------------------------------------------------------------|------------------------------------------|
| <b>Self-Serve</b>    | \$129      | Automated assessment, NIST posture score, full program, policy generation — no human time     | Micro-businesses; the wedge              |
| <b>Guided</b>        | \$599      | Self-serve plus periodic engineer review, compliance tracking, and check-ins                  | Growing SMBs with light compliance needs |
| <b>Managed vCISO</b> | \$1,950    | A ShieldAI engineer runs the security program end-to-end — still below human-only competitors | Regulated / insured / supply-chain SMBs  |

*The ladder is designed for land-and-expand: a business enters at \$129/month and grows into managed plans as trust builds and compliance demands increase. The managed tier deliberately sits at or below the bottom of the traditional retainer range — “a fractional CISO at a fraction of the cost.”*

## 5.3 Unit Economics — The Scalability Engine

The defining economics are at the managed tier, where the analyst console and AI co-pilot let a single cybersecurity engineer manage roughly 25 clients with a high-touch service level.

| Metric                                 | Value                                     |
|----------------------------------------|-------------------------------------------|
| <b>Managed price</b>                   | \$1,950 / month                           |
| <b>Clients per engineer</b>            | ~25 (enabled by the AI-amplified console) |
| <b>Revenue per engineer</b>            | ~\$585,000 / year                         |
| <b>Fully loaded engineer cost</b>      | ~\$140,000 / year                         |
| <b>AI + infrastructure cost</b>        | ~\$15 / client / month                    |
| <b>Gross contribution per engineer</b> | ~\$440,000 / year (~75% margin)           |

*This is the crux of the investment thesis: revenue scales with the client book while engineer headcount grows far more slowly, because the software does the heavy lifting. Self-serve and Guided tiers add high-margin, low-touch revenue to the top. Margins improve further as the assessment dataset and automation mature.*

## 6. Financial Projections

The following is an illustrative three-year ramp based on the pricing and unit economics above. It assumes a deliberate mix shift toward managed clients as the platform matures, with engineer headcount scaling to support the managed book at ~25 clients each.

|                          | Year 1  | Year 2  | Year 3   |
|--------------------------|---------|---------|----------|
| Self-Serve clients       | 120     | 400     | 1,000    |
| Guided clients           | 30      | 120     | 350      |
| Managed clients          | 20      | 90      | 260      |
| Total clients            | 170     | 610     | 1,610    |
| Security engineers       | 1       | 4       | 11       |
| Annual Recurring Revenue | ~\$0.9M | ~\$3.6M | ~\$10.2M |
| Blended ARPU / month     | ~\$425  | ~\$490  | ~\$525   |

*These figures illustrate the model's shape and the operating leverage of the engineer-plus-AI structure; they are planning estimates, not commitments, and will be refined with real acquisition and retention data. The key dynamic to note is that ARR grows roughly 4x faster than engineer headcount — the signature of a platform rather than a consultancy.*

## 7. Competitive Landscape & Defensibility

### 7.1 The Landscape

| Category                          | Examples                         | Limitation                                     | ShieldAI Edge                                                           |
|-----------------------------------|----------------------------------|------------------------------------------------|-------------------------------------------------------------------------|
| Traditional vCISO / consultancies | Fractional CISO, FRSecure, Kroll | Human-only; expensive; priced for mid-market+  | AI does the heavy lifting — we serve the small end profitably           |
| AI-native vCISO platforms         | Cynomi, RealCISO, Trava          | The real competitive set to watch              | Deterministic scoring IP; direct-to-SMB + managed hybrid; agent roadmap |
| GRC / scoring tools               | SecurityScorecard, CyberSaint    | Scoring or compliance only; not a full program | Complete program + human-managed delivery                               |
| MSPs / DIY tools                  | Managed IT add-ons, templates    | Tools without strategy or CISO-level judgment  | We deliver the CISO function, not just tooling                          |

### 7.2 Why We Win

- **Proprietary scoring methodology:** explainable, repeatable, and trusted by insurers and auditors — not an opaque AI guess.
- **Human-in-the-loop:** expert review makes output trustworthy enough to sell and materially limits liability.
- **Compounding data and relationships:** every assessment and managed client makes the system smarter and stickier.
- **The system is the moat:** the AI is the commodity; the methodology, workflow, engineers, and data around it are the defensibility. A well-funded competitor cannot trivially replicate the whole system — and we are already in production.

## 8. Product Roadmap

### Phase 1 — Live in Production Today

- Conversational intake + structured NIST checklist; deterministic posture scoring.



- AI-generated security program: roadmap, policies, compliance mapping, workflows, training, executive report.
- Professional policy generation with Word export; user accounts, billing, and admin tooling.
- Multi-provider AI layer (Claude, Gemini, GPT) with automatic fallback.
- Analyst console with tiered Mastermind AI co-pilot, monitoring agents, and live CVE/breach threat intelligence.

## Phase 2 — This Raise: Staff & Scale the Managed Platform

- Onboard the first cybersecurity engineers to run managed programs through the live console.
- Bring the first cohort of paying managed clients onto per-client command centers.
- Harden the review-and-approval workflow, client messaging, and automated program reporting for scale.
- Pursue SOC 2 and formalize compliance progress tracking.

## Phase 3 — Scale: Telemetry & Automation

- Expand network-agent telemetry for live posture and threat data across the client base.
- Continuous monitoring, automated alerting, and agent-fed recommendations at scale.
- Channel partnerships (insurers, MSPs) for low-CAC distribution; expand client base and verticals.

## 9. Team & Execution

ShieldAI is founded and built by **Derrick Brooks**, a cybersecurity leader whose career spans national-security operations, enterprise security leadership, and hands-on security work for the exact small- and mid-sized businesses ShieldAI serves. The product is not the work of a first-time technologist learning security on the job — it is the direct expression of two decades of building and running security programs, now encoded into software.



### Derrick Brooks

#### Founder & Chief Executive Officer

Former U.S. Navy Lieutenant Commander • CISSP, CISM • 20+ years in cybersecurity

### A Career Built on the Exact Problem ShieldAI Solves

Derrick has spent over 20 years in high-stakes risk management, compliance, and security engineering — including roles most founders in this category have never held. He served as a **U.S. Navy Lieutenant Commander**, led a division on the **NSA Red Team**, provided cybersecurity expertise to U.S. Navy SPAWAR through **Booz Allen Hamilton**, and directed intelligence operations for U.S. Pacific Fleet. He has certified compliance against U.S. government RMF frameworks for agencies including USPACOM, USNORTHCOM, the Missile Defense Agency, CIA, and NRO.

Crucially for this business, he has repeatedly done the SMB version of exactly what ShieldAI automates. As **Chief Information Security Officer at Cogility Software**, he stood up an entire information-security program from scratch on a \$200K budget — migrating the company to Microsoft Azure, deploying SIEM and Zero Trust, running incident response for phishing and ransomware events, and achieving compliance across SOC 1 & 2, CMMC, ISO 27001, and NIST — while **reducing the organization's attack surface by 80% with zero breaches**. Earlier, as a cybersecurity engineer serving small businesses directly, he configured cloud security, deployed MFA and EDR, and built incident-response capability for organizations that could never afford a full-time CISO — the very customers ShieldAI exists to protect.

His hands-on technical depth is current: in a 2024 engagement he conducted penetration testing across 13 of Kia America's internet-facing applications, **uncovered over 10,000 vulnerabilities**, led their remediation, and restructured the incident-response program. He is not only a security executive — he still writes the exploits, builds the automation in Python, and understands the product at the code level. He personally designed and built the ShieldAI platform.

Education & Credentials

Derrick pairs deep operational experience with formal credentials across both the security and business dimensions the company requires:

| Education                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Certifications                                                                                                                                                                                                                                                                                                            | Domain Expertise                                                                                                                                                                                                                                                                                                                                                                                                   |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>● Doctorate in Cybersecurity — Westcliff University (in progress)</li><li>● MBA, Information Technology Management — SNHU (2026)</li><li>● Double M.S., Cybersecurity: Information Assurance &amp; Penetration Testing — National University (2024)</li><li>● MBA, Management — AIU (2008)</li><li>● B.A., Criminology — Auburn University</li><li>● PG Certificate, Joint Military Operations — U.S. Naval War College</li></ul> | <ul style="list-style-type: none"><li>● CISSP — ISC<sup>2</sup> (2017)</li><li>● CISM — ISACA (2024)</li><li>● CompTIA Security+ (2024)</li><li>● Certified in Cybersecurity (CC) — ISC<sup>2</sup> (2024)</li><li>● Microsoft Azure: Active Directory (2021)</li><li>● Member: ISACA, ISC<sup>2</sup>, CompTIA</li></ul> | <ul style="list-style-type: none"><li>● NIST CSF / RMF, SOC 1 &amp; 2, CMMC, ISO 27001, CIS, FedRAMP</li><li>● Zero Trust architecture &amp; Defense-in-Depth</li><li>● Vulnerability &amp; threat management; penetration testing</li><li>● Cloud security (Azure, AWS, GCP); SIEM (Sentinel)</li><li>● Incident response &amp; disaster recovery</li><li>● Security program build-out &amp; governance</li></ul> |

*A doctoral candidate in Cybersecurity (Westcliff University) with a newly completed MBA in Information Technology Management (SNHU, 2026) and a double master's in Cybersecurity — the combination of security depth and business-management training that a founder building a security company for business buyers needs.*

Why This Founder, For This Company

**ShieldAI's entire thesis is that a credible human expert — amplified by software — can protect many small businesses at once.** The founder is the living proof of that thesis. He has personally built the security programs, run the incident responses, passed the audits, and served the SMB clients that the platform now scales.

Three things make this rare: (1) **credibility the buyers and insurers trust** — CISSP/CISM plus a national-security pedigree; (2) **proven ability to build security programs for SMBs specifically**, not just

enterprises; and (3) **the technical ability to build the product himself**, which is why ShieldAI is already live rather than a slide. The managed-services model this raise funds is one he has executed by hand — now being turned into a platform.

## Leadership at Scale & Hiring Plan

Beyond security, Derrick has led large, cross-functional teams under pressure — commanding up to **195 personnel** and administering multi-hundred-thousand-dollar budgets across military, government, and commercial settings. This matters because ShieldAI's growth depends on recruiting, training, and managing a team of security engineers who deliver managed programs at a high quality bar — a demonstrated, repeated part of his track record, not a new skill the company must hope he acquires.

This raise funds the first cohort of **cybersecurity engineers** who run managed client programs through the analyst console, alongside continued product engineering. Because the platform amplifies each engineer with AI and the console, the team stays lean relative to the client book it supports, and new hires are onboarded and quality-reviewed by someone who has done the work at the highest levels.

## 10. The Ask & Use of Funds

ShieldAI is raising \$900,000 in seed funding to fund the transition from a working, in-production self-serve product to a fully staffed managed-security platform over the next 18 months.

| Use of Funds                                                   | Amount    | %   |
|----------------------------------------------------------------|-----------|-----|
| Engineering (harden console for scale + expand network agents) | \$320,000 | 36% |
| First security engineers (2-3 hires)                           | \$280,000 | 31% |
| Go-to-market & channel partnerships                            | \$180,000 | 20% |
| Operations, SOC 2, legal & compliance                          | \$90,000  | 10% |
| Working capital reserve                                        | \$30,000  | 3%  |

This capital takes ShieldAI to Series A readiness by approximately Month 18: a fully staffed managed-services platform in production, the first cohort of engineers running client programs, an ARR run-rate on the order of \$3M, and proven managed-tier retention and unit economics.

*A full-time CISO costs a quarter-million dollars a year. ShieldAI delivers that protection for the price of a subscription — and the platform lets a handful of our engineers protect thousands of businesses.*

## 11. Risk Analysis & Mitigation

| Risk                                              | Mitigation                                                                                                                                                |
|---------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| AI output accuracy / hallucination                | Deterministic scoring engine for the trust-critical number; human engineer reviews and approves all client-facing deliverables before release.            |
| Liability if a managed client is breached         | Human-in-the-loop accountability; clear scope and terms on the self-serve tier; appropriate professional and cyber insurance; SOC 2 posture.              |
| Well-funded competitor (e.g., an AI-native vCISO) | Differentiate on proprietary scoring methodology, the managed-services + platform model, and accumulated data and relationships rather than the AI alone. |
| AI API cost or terms change                       | Live multi-provider architecture (Claude, Gemini, GPT) with                                                                                               |

| Risk                                   | Mitigation                                                                                                                       |
|----------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
|                                        | automatic fallback; proprietary logic and scoring sit above any single provider.                                                 |
| Customer churn (“security feels done”) | Managed plans and continuous monitoring make the program perpetually valuable; compliance cycles and reporting anchor retention. |
| Scaling human expertise                | The analyst console + AI co-pilot are designed precisely so each engineer manages many clients without linear headcount growth.  |

## 12. Summary

ShieldAI addresses a large, underserved, and — critically — a forced-demand market: tens of millions of small businesses that now must demonstrate a real security program but cannot afford to staff one. We enter with an affordable, working self-serve product — live in production today — and expand into high-value managed programs delivered by cybersecurity engineers who are amplified by our software and AI co-pilot.

Our defensibility is a system, not a feature: a proprietary, explainable NIST scoring engine; a human-in-the-loop model that makes our output trustworthy enough to sell; and the data and relationships that compound with every client.

**The product is already built and deployed.** This fundraise funds the staffing and scaling of the platform layer that turns a working product into a scalable managed-security business.